ISDA® Safe, Efficient Markets

Celebrating 40 Years

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MODERNIZING THE FRTB:

A GLOBAL BLUEPRINT FOR MARKET RISK REFORM

INTRODUCTION

The global financial crisis of 2007-2009 exposed fundamental weaknesses in how banks measured and managed risk, and the repercussions were felt by economies all over the world. In response, policymakers sought to rebuild trust and resilience in the global financial system with a wide-ranging package of regulatory reforms. At the heart of this effort was the Basel III framework, a globally agreed set of standards to strengthen the regulation, supervision and risk management of banks.

The Basel III framework was developed by the Basel Committee on Banking Supervision, an international body comprising 45 central banks and bank supervisors from 28 jurisdictions. First established in 1974, the Basel Committee is the primary global standard setter for the prudential regulation of banks[1]. Basel III is a comprehensive set of rules designed to strengthen banks' capital positions, improve risk management and promote stability in the banking sector[2]. Although not yet fully implemented in every jurisdiction, Basel III is now the foundation of banking regulation worldwide, shaping the way institutions operate and interact with markets.

As Basel III has been developed and implemented over the past 15 years, challenges have emerged. Key jurisdictions have moved at different speeds, interpreting and implementing the global standards in their own way. Today, banks must navigate a complex web of requirements, with significant implications for competition, risk and the functioning of global capital markets.

ISDA is a global organization with 1,000 member institutions from 78 countries. ISDA believes capital requirements should be appropriate and risk-sensitive to support deep and liquid markets. If capital requirements are set too high, this can lead to reduced access to funding, a lack of hedging solutions and increased vulnerability to external shocks. It's also important that the rules are as consistent as possible for globally active banks, or else it will be more difficult for them to effectively manage their risks and service their clients.

This paper presents some of the key areas where ISDA has been focusing its advocacy in relation to the Basel III market risk framework, but it is not intended to be an exhaustive list of issues. For a more comprehensive overview, reference should be made to the industry's extensive technical comments in response to key consultations on Basel III implementation[3,4,5].

"The stakes couldn't be higher – for the preservation of deep and liquid markets, we need a risk-appropriate and robust capital framework. Poorly calibrated capital rules are damaging to market liquidity and will compromise economic activity"

Scott O'Malia, chief executive officer, ISDA

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[1] The Basel Committee – overview, Bank for International Settlements (BIS), www.bis.org/bcbs/index.htm?m=88

[2] Basel III: International regulatory framework for banks, BIS, www.bis.org/bcbs/basel3.htm?m=76

[3] ISDA and SIFMA Response to US Basel III NPR, ISDA, January 16, 2024, www.isda.org/2024/01/16/isda-and-sifma-response-to-us-basel-iii-npr/

[4] ISDA/IIF Response to EC's Consultation on the Market Risk Prudential Framework, ISDA, April 22, 2025, www.isda.org/2025/04/22/isda-iif-response-to-ecs-consultation-on-the-market-risk-prudential-framework/

[5] ISDA, IIF Respond to PRA on Adjustments to Basel 3.1 Market Risk Framework, ISDA, September 12, 2025, www.isda.org/2025/09/12/isda-iif-respond-to-pra-on-adjustments-to-basel-3-1-market-risk-framework/

WHAT IS THE FUNDAMENTAL REVIEW OF THE TRADING BOOK?

The Fundamental Review of the Trading Book (FRTB) is a central component of the Basel III framework that sets capital requirements for market risk. It was developed to address weaknesses in the market risk framework. The FRTB introduces a more structured, risk-sensitive framework, with clearer definitions, enhanced governance and more robust capital calculations.

The FRTB comprises two distinct approaches for the calculation of market risk capital: a standardized approach (SA) and an internal models approach (IMA). While the framework is a significant step forward in aligning capital with risk, both the SA and the IMA have their own unique challenges, and the rules have been implemented differently across jurisdictions, leading to increased fragmentation and operational complexity.

Among the original goals of the FRTB, as defined in an initial consultation in 2012[6], regulators wanted the market risk framework to be implemented consistently across jurisdictions and they also wanted the revised standardized approach to serve as a credible fallback to internal models. Given neither of these goals has so far been achieved, changes should be made to the FRTB framework so that policymakers can deliver on their objectives without undermining the competitiveness and functionality of global capital markets.

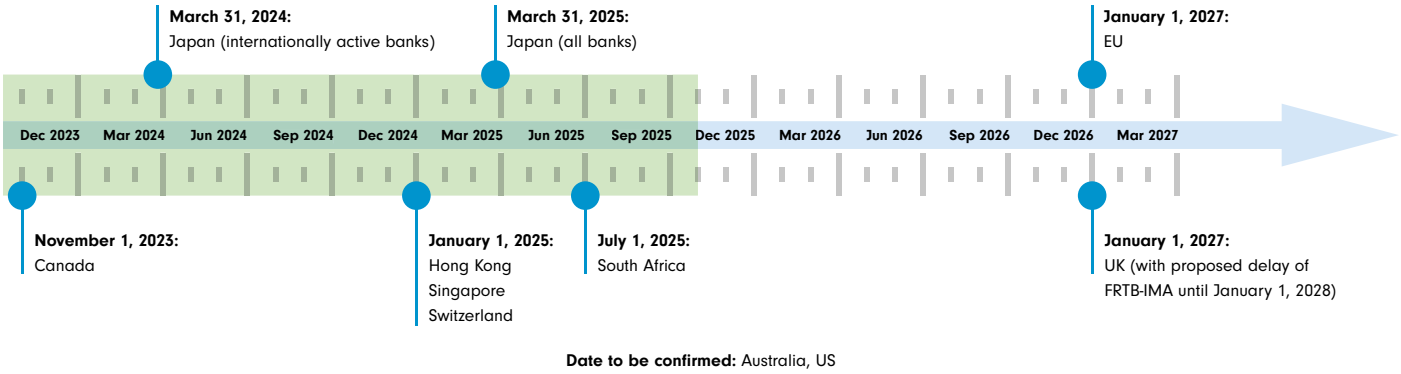
THE GLOBAL CHALLENGE: DIVERGENCE AND FRAGMENTATION

As the FRTB is finalized and implemented, banks face a host of challenges. Divergent implementation of the framework in key jurisdictions means that a bank's capital requirements may vary dramatically depending on where it does business. This complicates risk management and capital planning and it also threatens to distort competition between institutions in different regions.

For many banks, the operational burden of running parallel market risk frameworks – as they must comply with differing jurisdictional requirements or prepare for implementation deadlines while maintaining legacy systems – has created a significant drain on resources, especially for those banks with large and diverse trading books.

The risk of regulatory arbitrage is real. When regulations differ from one jurisdiction to another, banks may be tempted to shift their activities to markets where the requirements are less onerous. This undermines global harmonization and can erode confidence in the system as a whole.

FRTB Implementation Timeline



FRTB: PROGRESS AND PERSISTENT ISSUES

In many respects, the FRTB represents a step forward, bringing greater clarity to the boundary between the trading and banking books, setting higher standards for model validation and encouraging more granular measurement of risk.

However, the new framework has considerable operational complexity and for many banks, the costs and technical demands of compliance are exceptionally onerous. The capital treatment of certain exposures, including funds and non-modellable risk factors (NMRFs), has been a source of frustration, with rules that are often seen as excessively conservative and not sufficiently aligned with the realities of risk management.

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[6] Fundamental review of the trading book, BIS, May 3, 2012, www.bis.org/publ/bcbs219.htm

One of the most concerning problems is that the framework threatens the future of internal models, which have an important role to play for those banks that would would like to use their own sophisticated approaches. As it stands, the IMA is not operationally or economically feasible for most banks.

Preserving Internal Models

It is vital that regulators and policymakers do not lose sight of the importance of internal models. Using proprietary models to calculate capital is the most risk-sensitive way to link capital with actual trading exposures, and their broader use supports more accurate risk measurement and portfolio management. Broader adoption can also lead to methodological innovation and the development of best practices across the industry. Regulators should focus on addressing the outstanding issues that have made the IMA impractical by recalibrating key parameters and adjusting the operational requirements to make internal models a more viable option.

Based on industry feedback, ISDA has consistently called for changes that would make internal models more accessible and meaningful[7]. These changes would include recalibrating the framework to better reflect actual diversification and risk, making changes to the operational requirements such as less frequent calculations and pragmatic treatment of hedges, and addressing flaws in the NMRF framework and the capitalization of fund exposures. Crucially, there are two key tests that trading desks must pass to obtain internal model eligibility – the profit-and-loss attribution test (PLAT) and the risk factor eligibility test (RFET). These tests must be fit for purpose to avoid unnecessary volatility or cliff edge effects.

STANDARDIZED APPROACH: KEY RECOMMENDATIONS

Funds (Collective Investment Undertakings)

The treatment of fund exposures under the SA remains a significant operational and capital challenge for banks. The FRTB requires banks to look through to the underlying assets of funds, but it is not possible to achieve perfect transparency. When transparency is limited, fallback capital requirements can be excessively conservative, resulting in capital charges that do not reflect the true risk or liquidity of diversified funds. The industry has called for a more pragmatic approach, which would allow banks to use net asset value for look-through calculations, removing rigid thresholds and ensuring listed and actively traded funds can remain in the trading book[8,9]. There is also a strong case for more proportionate risk weights and rules that better reflect the actual risk profile of diversified funds.

Residual Risk Add-On

The residual risk add-on (RRAO) was intended to capture risks not otherwise covered under the SA, but its current design can result in disproportionate capital requirements for well-understood and effectively hedged products. There is a strong case to be made for blanket exemptions from the RRAO for certain products that are widely traded and easily hedged, such as spread options and dividend derivatives. Where permissions are needed, the process should be streamlined and pragmatic, with lighter requirements for minor product variations.

Default Risk Charge Maturity Mismatch

The treatment of maturity mismatches under the default risk charge has raised concerns, particularly where short-dated hedges are used to manage longer-dated exposures. The current framework may not fully recognize the effectiveness of these hedges, leading to disproportionate capital requirements that do not reflect the actual risk reduction achieved. The industry recommends an alternative approach that better captures the economic reality of hedging strategies, including recognition of partial maturity alignment and the risk-reducing effect of rolling hedges.

Diversification in the SA

One of the main criticisms of the SA is the lack of recognition of diversification across asset classes. Given the SA is intended to offer a credible alternative to internal models, the industry proposes to improve the calibration so that capital requirements better reflect the real-world benefits of diversification. This would lead to greater alignment with actual risk management practices and help to ensure capital requirements are proportionate and risk-sensitive.

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[7] Fundamental Review of the Trading Book: Internal Models Approach Adoption, ISDA, July 18, 2024, www.isda.org/2024/07/18/fundamental-review-of-the-trading-book-internal-models-approach-adoption/

[8] Capitalization of Equity Investments in Funds Under the FRTB, ISDA, January 10, 2022, www.isda.org/2022/01/10/capitalization-of-equity-investments-in-funds-under-the-frtb/

[9] FRTB Implementation Challenges: Capitalization of Funds, ISDA, December 13, 2024, www.isda.org/2024/12/13/frtb-implementation-challenges-capitalization-of-funds/

INTERNAL MODELS APPROACH: KEY RECOMMENDATIONS

Profit-and-loss Attribution Test

The PLAT was introduced to ensure that banks' internal models accurately capture the risks in the trading book. In practice, the test has proven difficult to pass and has introduced volatility into capital requirements, discouraging investment in internal models. The industry recommends that the PLAT should be simplified and used primarily as a supervisory monitoring tool, rather than a strict test that desks either pass or fail. This would allow supervisors to gather evidence and recalibrate the test as needed, reducing any unnecessary disruption for banks.

Risk Factor Eligibility Test

The RFET plays a critical role in determining which risk factors are eligible for modelling under the IMA. However, the current calibration of the test is widely viewed as too restrictive, as it results in a high number of risk factors being classified as non-modellable. This undermines the effectiveness of internal models and leads to inflated capital requirements. The industry has called for a more proportionate and risk-sensitive calibration of the RFET, including adjustments to data sufficiency thresholds and the treatment of low-frequency but economically meaningful risk factors. A more balanced approach would support broader adoption of internal models, while maintaining robust standards.

Non-Modellable Risk Factors

The current framework is widely seen as excessively punitive, with limited recognition of diversification and conservative aggregation rules for NMRFs that can inflate capital requirements. The industry has called for a more risk-sensitive approach, including recalibrating key parameters, allowing for more realistic stress periods, and introducing a differentiated treatment for risk factors that are only marginally non-modellable. These changes would lead to a more operationally workable framework that is better aligned with risk.

Portfolio Diversification Loss Effect

Banks typically apply a mix of internal models and standardized approaches to their firm-wide portfolio. Such a split of methodologies results in a loss of diversification across the portfolio which can be unpredictable due to potential changes in the scope of application of internal models. The industry recommends a mechanism that allows firms to realize capital benefits due to overall portfolio diversification proportional to the part of the portfolio that falls under internal models. This would facilitate a gradual implementation of internal models and encourage broader adoption across the industry.

Output Floor

The output floor was introduced to ensure that banks using internal models do not hold less capital than a set percentage of what would be required under the SA. While this mechanism is intended to promote consistency and avoid insufficient capitalization, the practical reality is more complex. The output floor can significantly limit the benefits of adopting internal models, particularly for banks with diversified portfolios. In many cases, the floor becomes the binding constraint, meaning that even if a bank's internal model demonstrates lower risk, the capital requirement cannot fall below the floor set by the SA. The industry recommends that regulators should carefully monitor the interaction between the output floor and internal models, ensuring the floor does not become a blunt instrument that discourages the use of internal models[10].

CONCLUSION

The implementation of the FRTB as part of Basel III marks a critical juncture for global capital markets. The reforms offer the promise of a safer, more resilient financial system, but their success depends on consistent, pragmatic and risk-sensitive application across jurisdictions. Preserving the role of internal models, addressing operational challenges and promoting international cooperation are essential to achieving these goals. Ongoing dialogue between regulators, banks and market participants will be key to resolving the issues that remain and ensuring the benefits of the reforms are realized for all.

[10] Fundamental Review of the Trading Book: Internal Models Approach Adoption, ISDA, July 18, 2024, www.isda.org/2024/07/18/fundamental-review-of-the-trading-book-internal-models-approach-adoption/